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Case Number: 23SMCV04144 Hearing Date: September 24, 2026 Dept: 205

Superior Court of California

County of Los Angeles – West District

Beverly Hills Courthouse / Department 205

HARSHAL TOPIWALA,

Plaintiff,

v.

FEREIDOUN KHALILIAN, et al.,

Defendants.

Case No.: 23SMCV04144

Hearing Date: September 24, 2026

[TENTATIVE] order RE:

Defendant's MOTION TO VACATE

entry of DEFAULT and default

judgment

BACKGROUND

This is an action to recover damages arising from Plaintiff Harshil Topiwala's investment of \$585,500 in Defendant BlockChain Consulting Group, LLC (the "Company"). The Company is in the business of developing blockchain technology for use in the American Indian casino and gaming industry.

Defendant Fred Khalilian executed a personal guaranty of Plaintiff's investment in the Company. Khalilian guaranteed the repayment of Plaintiff's capital investment within sixty (60) days of Plaintiff's demand in the event Plaintiff did not see a return. Plaintiff did not see a return on his capital investment.

On July 21, 2023, Plaintiff demanded payment on the guaranty. Khalilian refused to pay. This action ensued.

On September 1, 2023, Plaintiff filed a Complaint against Defendants. The Complaint alleges five claims for (1) breach of written contract, (2) declaratory relief, (3) intentional misrepresentation, (4) fraudulent inducement, and (5) unjust enrichment. The Complaint seeks actual damages in excess of \$583,000, plus interest and reasonable attorneys' fees and costs.

Plaintiff filed a proof of service showing Khalilian was served personally on October 20, 2023, and BlockChain Consulting Group LLC was served personally on December 26, 2023. Defendants did not respond within 30 days. Plaintiff successfully requested the entry of Defendants' default, which was entered by the Clerk's Office on February 26, 2024. Plaintiff then requested default judgment on March 18, 2024, which this Court granted on June 14, 2024. The judgment was against Defendants and in favor of Plaintiff in the amount of \$622,026.98.

This hearing is on Khalilian's motion to vacate entry of default and default judgment. Khalilian argues that he was in prison at the time service was made, and although he cannot dispute that the sheriff's deputy in fact handed him the summons and complaint, he says he does not recall ever receiving it. He also argues that the request for default/default judgment was mailed to his home when Plaintiff knew he was incarcerated. In the alternative, Khalilian argues that the Court should allow "focused briefing and evidence" on the "correct principal, contractual maturity date, applicable interest rate, interest period, and resulting amount."

Khalilian had previously filed a motion to vacate default judgment which this Court denied without prejudice. The prior motion was procedurally defective. Khalilian has now corrected the deficiencies.

LEGAL STANDARD

Section 473(d)

Code Civ. Proc. § 473(d) provides that "[t]he court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order."

A defendant may move to set aside a default and default judgment based on improper service and lack of personal jurisdiction under Code Civ. Proc. §473(d). (*Strathvale Holdings v. E.B.H.* (2005) 126 Cal.App.4th 1241, 1250.) A "default judgment entered against a defendant who was not served with a summons in the manner prescribed by statute is void. Under § 473(d), the court may set aside a default judgment which is valid on its face, but void, as a matter of law, due to improper service." (*Ellard v. Conway* (2001) 94 Cal.App.4th 540, 544.)

Where service is challenged, the burden is on the plaintiff to prove the facts requisite to an effective service. (*Lebel v. Mai* (2012) 210 Cal.App.4th 1154, 1160.)

Section 473.5

Code Civ. Proc. § 473.5(a) provides: “When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered.”

A notice of motion to set aside a default under section 473.5 “shall be accompanied by an affidavit showing under oath that the party’s lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect.” (Code Civ. Proc. § 473.5(b).)

“‘[A]ctual notice’ in section 473.5 ‘means genuine knowledge of the party litigant....’ [Citations.] ‘[A]ctual knowledge’ has been strictly construed, with the aim of implementing the policy of liberally granting relief so that cases may be resolved on their merits.’ [Citation.]” (Ellard v. Conway (2001) 94 Cal.App.4th 540, 547.)

“It is the policy of the law to favor, wherever possible, a hearing on the merits, and appellate courts are much more disposed to affirm an order where the result is to compel a trial upon the merits than they are when the judgment by default is allowed to stand and it appears that a substantial defense could be made. Stated another way, the policy of the law is to have every litigated case tried upon its merits, and it looks with disfavor upon a party, who, regardless of the merits of the case, attempts to take advantage of the mistake, surprise, inadvertence, or neglect of his adversary.” (Weitz v. Yankosky (1966) 63 Cal.2d 849, 854-855.)

DISCUSSION

Default judgment was entered on June 14, 2024. Khalilian filed his motion to vacate more than two years after default judgment was entered. Notwithstanding, there is no time-limit to filing a motion to vacate default judgment under section 473(d). (California Capital Ins. Co. v. Hoehn (2024) 17 Cal.5th 207, 226.)

However, to obtain relief under section 473(d), Khalilian must show he was not properly served. Plaintiff has filed a proof of service showing Khalilian was personally served by a sheriff’s deputy on October 20, 2023. Khalilian cannot categorically deny that the deputy in fact handed him the summons and complaint. He only says that he doesn’t recall receiving the documents because he was in the middle of preparing for a trial. But that doesn’t establish that service was defective, and therefore, that Khalilian was denied due process. The proof of service creates a rebuttable presumption, and Khalilian has not offered any facts to rebut that presumption.

Instead, Khalilian asks for discovery that may help him rebut that presumption. He requests “narrowly tailored” evidence regarding the sheriff’s complete service file, deputy notes, facility logs, visitor and law enforcement access records, and any document, property or legal mail records associated with the alleged service. There is no basis for this discovery when Khalilian cannot dispute that he was served but only says he doesn’t recall that he was personally served. It is the classic fishing expedition.

Khalilian also maintains that he had no actual notice. To the extent Khalilian seeks relief under section 473.5, his motion is untimely. That provision requires that a motion be made within two years of the entry of default judgment, at the latest. Khalilian filed his first motion to vacate default (on August 10, 2026) more than two years after the entry of default judgment (on June 14, 2024).

Next, Khalilian argues that the Court should grant him equitable relief based on an “extrinsic mistake.” A trial court has inherent power to vacate a default judgment on equitable grounds. (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 981; *Aldrich v. San Fernando Valley Lumber Co.* (1985) 170 Cal.App.3d 725, 736.)

“One ground for equitable relief is extrinsic mistake—a term broadly applied when circumstances extrinsic to the litigation have unfairly cost a party a hearing on the merits.” (*Rappleyea*, 8 Cal.4th at 981; see *Aldrich*, 170 Cal.App.3d at 738.) “[E]xtrinsic mistake exists when the ground of relief is not so much the fraud or other misconduct of one of the parties as it is the excusable neglect of the defaulting party to appear and present his claim or defense. If that neglect results in an unjust judgment, without a fair adversary hearing, the basis for equitable relief on the ground of extrinsic mistake is present.” (*Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 47; see *In re Marriage of Park* (1980) 27 Cal.3d 337, 342.)

To qualify for equitable relief based on extrinsic mistake, the defendant must demonstrate: (1) “a meritorious case”; (2) “a satisfactory excuse for not presenting a defense to the original action”; and (3) “diligence in seeking to set aside the default once the fraud [or mistake] had been discovered.” (*In re Marriage of Stevenot* (1984) 154 Cal.App.3d 1051, 1071.) When “a default judgment has been obtained, equitable relief may be given only in exceptional circumstances.” (*Rappleyea*, 8 Cal.4th at 981.)

Here, Khalilian has not shown he has a meritorious case. To be sure, only a minimal showing is necessary. (*Stiles v. Wallis* (1983) 147 Cal.App.3d 1143, 1148.) And the moving party does not have to guarantee success, or “demonstrate with certainty that a different result would obtain Rather, [it] must show facts indicating a sufficiently meritorious claim to entitle [it] to a fair adversary hearing.” (*In re Marriage of Park*, *supra*, 27 Cal.3d at 346.) There are no such facts stated in Khalilian’s motion, only a reference to the “record” which he claims “presents unresolved issues”. This bare assertion does not qualify as “facts,” even under a “minimal showing” standard.

Khalilian also asks that the Court correct the interest and damages amount. He does not cite any authority that would allow the Court to do so. Once the trial court has entered judgment, it is without power to correct or amend the judgment absent statutory authorization. (*APRI Ins. Co. SA v. Superior Court* (1999) 76 Cal.App.4th 176, 182.) Khalilian does not cite any statute that would allow the Court to amend the judgment under these circumstances. Khalilian also does not indicate what the correct amount should be. He asks the Court for “focused briefing and evidence on those issues before enforcing the disputed component.” The Court declines Khalilian’s request for a correction of the judgment when Khalilian cites no supporting authority and does not even know what the error is in the judgment.

CONCLUSION AND ORDER

Based on the foregoing, the Court DENIES Defendant’s motion to set aside the default/default judgment.

DATED: September 24, 2026 _____

Edward B. Moreton, Jr.

Judge of the Superior Court